protocol.[9] To participate in the governance process, users and investors must acquire a token that has been explicitly assigned rights on a liquid marketplace. Once acquired, holders use these tokens to vote on protocol changes and guide future direction. Governance tokens usually have a fixed supply that assists in resisting attempts by anyone to acquire a majority (51 percent); nevertheless, they expose the protocol to the risk of control by a malicious actor. New projects like Automata[10] allow users to buy governance votes directly and will likely accelerate the threat of malicious or hostile governance.

In traditional companies, activist investors can buy shares and vote to tilt the company's direction as they desire. DeFi protocols with governance tokens are similar, except governance systems are launched much earlier into a protocol's life, which can create greater risks. Furthermore, in traditional companies, even activist investors are bound by a legally enforceable fiduciary "duty of loyalty" to minority shareholders, whereas in DeFi this does not exist.

On March 13, 2021, there was a governance attack on True Seigniorage Dollar. At the time, the developers controlled only 9 percent of the DAO. The attacker gradually bought $TSD until he had 33 percent of the DAO and then proposed an implementation and voted for it. The attacker added code to mint himself 11.5 quintillion $TSD and then sold 11.8 billion $TSD tokens on Pancakeswap.[11]